Hon Hai Precision Industry

HHTD 2026: precision manufacturing, vertical integration, AI DC, and new EV

Maintain Rating: BUY | PO: 320.00 TWD | Price: 245.50 TWD

7th HHTD: precision manufacturing, vertical integration

Hon Hai hosted its seventh Tech Day, titled "Accelerating Intelligence" on 30 Oct. Key highlights included its strengths in precision manufacturing, vertical integration, robotics and AI datacenters, as well as the launch of the Model A+ and Model K/K+ EVs. We expect Hon Hai, with its strong manufacturing capability and vertical integration advantages, to sustain its leading position as an AI server ODM. Maintain Buy.

Doubled AI rack production to 2k racks per week currently

Hon Hai's Chairman indicated that the company has shortened the assembly time for a compute tray from 2 hours to 20 minutes. This was supported by its precision manufacturing capability (1μm precision), automation and a cableless design co-developed with its customer. Amid continued strong AI demand, Hon Hai has doubled its AI server rack production from 1,000 racks per week a year ago to 2,000 racks per week.

AI server solution offerings across L1-L12 and CPO

The company can now provide up to 50% of server rack components (excluding GPUs/CPUs), with solution offerings spanning L1 to L12. It demonstrated its high-speed cables/connectors, power busbars/whips, liquid cooling solutions (manifolds/cold plates/UQDs), compute/switch trays including the NVIDIA Spectrum-X CPO switch tray, server racks, as well as SuperPOD and AI datacenter solutions.

Robotics for factory automation and new EV

Hon Hai showcased live demonstrations of its robotics, highlighting capabilities such as AI-planned assembly paths and real-time sensing and tracking. For EVs, the company launched Model A+ and Model K/K+. Model A+ features L4 readiness, four-wheel drive and a spacious cabin. Model K converts from a truck into a van with a canopy box, while Model K+ features a more stylish design to serve the Japanese and European markets.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	152,705	189,354	256,602	304,563	358,129
EPS	11.01	13.61	18.44	21.88	25.73
EPS Change (YoY)	7.4%	23.6%	35.5%	18.7%	17.6%
Consensus EPS (Visible Alpha)			18.89	24.66	30.18
Dividend / Share	5.8	7.2	9.2	10.9	12.9
Free Cash Flow / Share	2.14	3.81	(23.21)	(0.567)	7.94
Valuation (Dec)					
P/E	22.30x	18.04x	13.32x	11.22x	9.54x
Dividend Yield	2.4%	2.9%	3.8%	4.5%	5.2%
EV / EBITDA*	15.12x	12.19x	9.86x	8.52x	7.11x
Free Cash Flow Yield*	0.9%	1.5%	-9.4%	-0.2%	3.2%

* For full definitions of *iQmethod*℠ measures, see page 8.

02 November 2026

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Stock Data

Price	245.50 TWD
Price Objective	320.00 TWD
Date Established	12-Aug-2026
Investment Opinion	B-1-7
52-Week Range	187.50 TWD-314.00 TWD
Mrkt Val / Shares Out (mn)	105,652 USD / 14,028.6
Market Value (mn)	3,444,033 TWD
Average Daily Value (mn)	280.48 USD
Free Float	85.8%
BofA Ticker / Exchange	HNHAF / TAI
Bloomberg / Reuters	2317 TT / 2317.TW
ROE (2026E)	13.8%
Net Dbt to Eqty (Dec-2025A)	-7.8%

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Refer to important disclosures on page 9 to 11. Analyst Certification on page 6. Price

iQprofile℠ Hon Hai Precision Industry

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	6,859,615	8,103,105	10,799,984	12,928,925	14,816,549
Gross Profit	428,946	498,161	655,290	770,436	877,929
Sell General & Admin Expense	(112,567)	(117,233)	(136,090)	(168,500)	(185,511)
Operating Profit	200,607	259,223	370,978	413,661	481,335
Net Interest & Other Income	11,268	34,222	8,171	18,876	22,556
Associates	NA	NA	NA	NA	NA
Pretax Income	211,875	293,445	379,149	432,537	503,891
Tax (expense) / Benefit	(40,196)	(78,410)	(92,427)	(103,974)	(121,762)
Net Income (Adjusted)	152,705	189,354	256,602	304,563	358,129
Average Fully Diluted Shares Outstanding	13,874	13,918	13,918	13,918	13,918
Key Cash Flow Statement Data					
Net Income	152,705	189,354	256,602	304,563	358,129
Depreciation & Amortization	84,290	94,198	66,004	91,711	124,118
Change in Working Capital	(133,466)	(101,566)	(423,459)	(269,462)	(239,028)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	62,499	44,867	3,695	1,635	3,596
Cash Flow from Operations	166,029	226,852	(97,158)	128,448	246,815
Capital Expenditure	(136,339)	(173,763)	(225,892)	(136,339)	(136,339)
(Acquisition) / Disposal of Investments	(11,729)	(173)	0	0	0
Other Cash Inflow / (Outflow)	(151,977)	(130,753)	0	0	0
Cash Flow from Investing	(300,046)	(304,689)	(225,892)	(136,339)	(136,339)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(83,134)	(106,731)	(100,206)	(128,301)	(152,282)
Cash Flow from Financing	(164,072)	169,947	(100,206)	(128,301)	(152,282)
Free Cash Flow	29,690	53,089	(323,051)	(7,891)	110,476
Net Debt	(349,257)	(154,344)	268,913	405,105	446,911
Change in Net Debt	219,635	194,914	423,257	136,192	41,806
Key Balance Sheet Data					
Property, Plant & Equipment	468,838	543,393	703,281	747,909	760,130
Other Non-Current Assets	549,897	599,452	592,451	579,719	563,272
Trade Receivables	1,141,418	1,181,307	1,574,470	1,884,837	2,160,023
Cash & Equivalents	937,108	1,016,440	593,183	456,991	415,185
Other Current Assets	1,297,239	1,764,080	2,163,384	2,488,590	2,781,888
Total Assets	4,394,500	5,104,672	5,626,769	6,158,046	6,680,499
Long-Term Debt	32,744	26,449	26,449	26,449	26,449
Other Non-Current Liabilities	335,350	396,612	396,612	396,612	396,612
Short-Term Debt	555,107	835,648	835,648	835,648	835,648
Other Current Liabilities	1,619,711	1,875,201	2,210,784	2,541,797	2,834,403
Total Liabilities	2,542,911	3,133,909	3,469,491	3,800,505	4,093,111
Total Equity	1,851,588	1,970,763	2,157,278	2,357,540	2,587,388
Total Equity & Liabilities	4,394,500	5,104,672	5,626,769	6,158,046	6,680,499
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	7.4%	7.1%	9.1%	9.6%	10.4%
Return On Equity	9.7%	11.1%	13.8%	14.8%	15.7%
Operating Margin	2.9%	3.2%	3.4%	3.2%	3.2%
EBITDA Margin	4.2%	4.4%	4.0%	3.9%	4.1%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.1x	1.2x	-0.4x	0.4x	0.7x
Asset Replacement Ratio	1.6x	1.8x	3.4x	1.5x	1.1x
Tax Rate (Reported)	19.0%	26.7%	24.4%	24.0%	24.2%
Net Debt-to-Equity Ratio	-18.9%	-7.8%	12.5%	17.2%	17.3%
Interest Cover	5.5x	6.8x	8.6x	9.5x	11.1x

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 8.

Company Sector

Electronics Manufacturing Services

Company Description

Hon Hai is the world's largest EMS provider, with four key business segments - Smart Consumer Electronics, Cloud & Networking, Computing, and Components & Others. Hon Hai supplies components, final assembly, and global logistics for global tech giants, including Apple, Microsoft, Google, HP, Dell, Cisco, and Sony. Hon Hai has R&D/production sites globally, including Taiwan, China, India, Japan, Vietnam, Malaysia, Czech Republic, Mexico, and the US. The company was established in Taiwan in 1974.

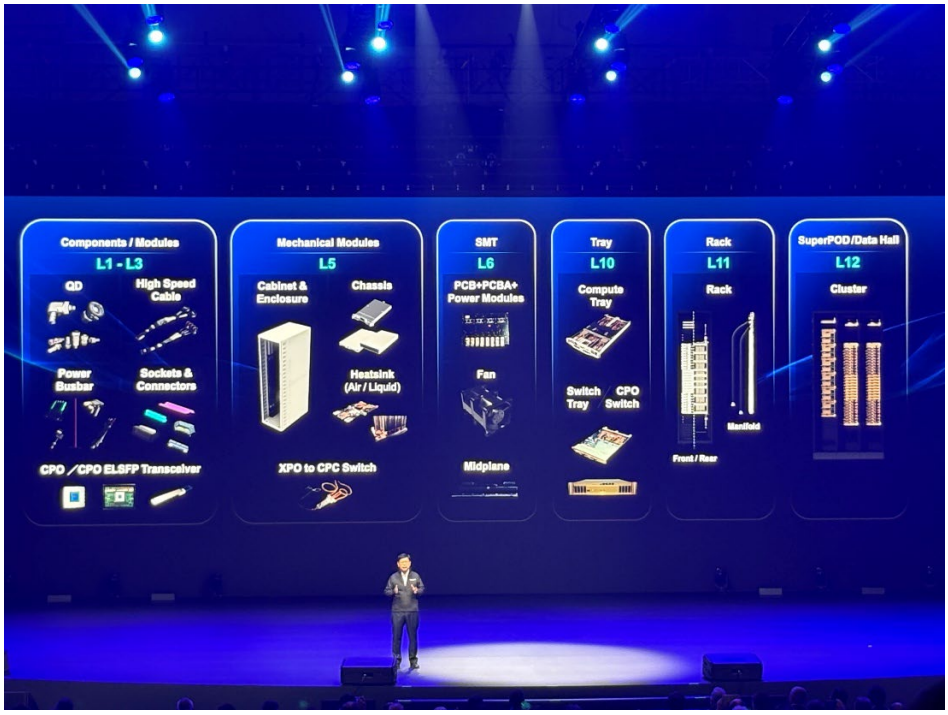
Investment Rationale

We have a Buy rating on Hon Hai as its gradual moves into high margin/value-added server/components/semi business, stronger position in AI server with rising sales, solid balance sheet, and attractive valuation among Greater China AI server players.

Stock Data

Price to Book Value	1.8x

Exhibit 1: Hon Hai's AI server offerings are across L1-L12
Hon Hai's AI server offerings



Source: BofA Global Research

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Exhibit 2: Hon Hai demonstrated Vera Rubin NVL72 midplane
Hon Hai's NVIDIA VR NVL72 midplane demonstration



Source: BofA Global Research

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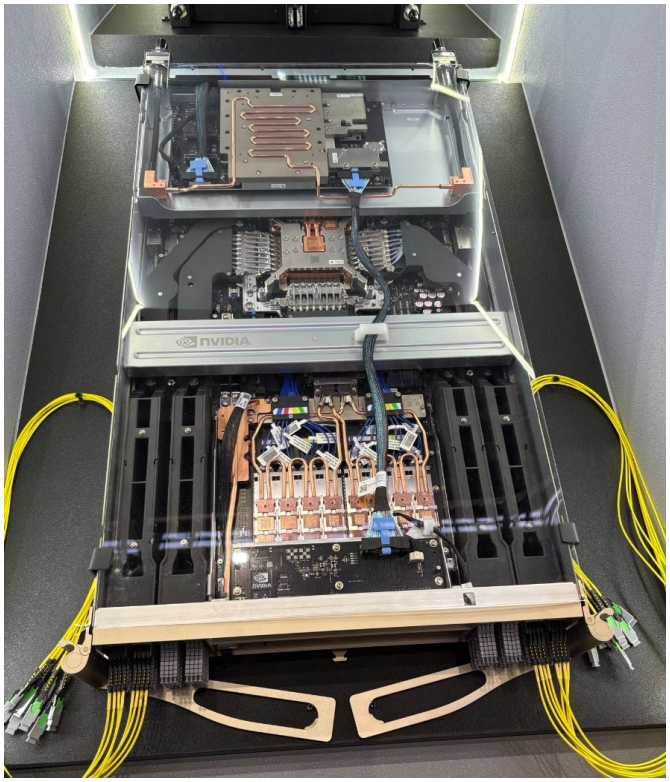
Exhibit 3: Hon Hai demonstrated its NVIDIA NVL72 power solutions
Hon Hai's NVIDIA NVL72 power solutions demonstration



Source: BofA Global Research

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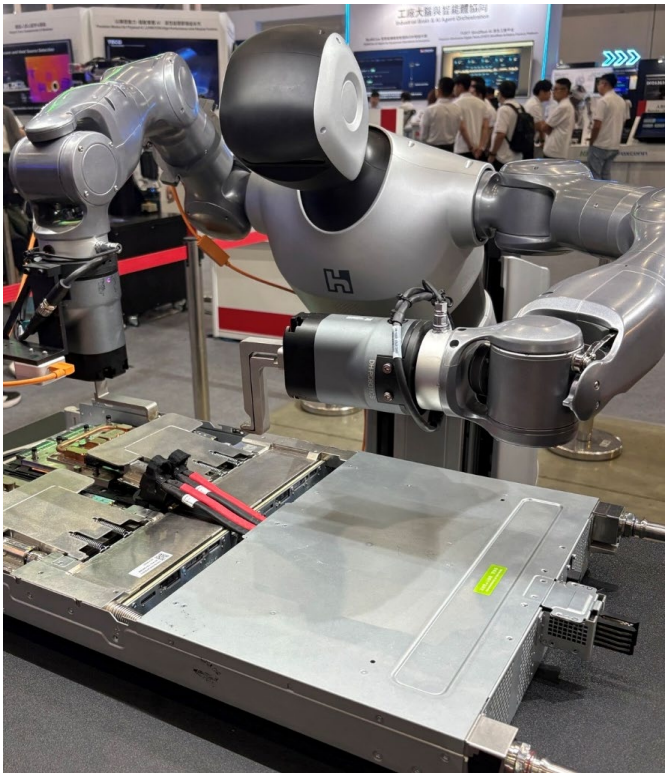
Exhibit 4: Hon Hai demonstrated NVIDIA Spectrum-X Ethernet Photonics switch
Hon Hai's CPO switch demonstration



Source: BofA Global Research

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Exhibit 5: Hon Hai showcased live tasks of its robotics on busbar assembly
Hon Hai's robotics demonstration



Source: BofA Global Research

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Exhibit 6: Hon Hai demonstrated its liquid cooling solutions for NVIDIA'S AI server
Hon Hai's liquid cooling solution demonstration



Source: BofA Global Research

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Exhibit 7: Hon Hai demonstrated containerized datacenter with 800VDC power design
Hon Hai's containerized datacenter demonstration



Source: BofA Global Research

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Exhibit 8: Expansions of acronyms used throughout the report
Acronyms

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	EV	Electric Vehicle	UQD	Universal Quick Disconnect
CPO	Co-Packaged Optics	GPU	Graphics Processing Unit	VDC	Voltage Direct Current
CPU	Central Processing Unit	HHTD	Hon Hai Tech Day		
DC	Datacenter	ODM	Original Design Manufacturer		

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Hon Hai Precision Industry (HNHAF)
We set our PO at NT$320 (15x 4Q26-3Q27E EPS), at around 3SD above historical P/E average since 2007. We think the valuation is justified as HH's leading position in EMS/ODM business, improving iPhone momentum with replacement cycle, rising sales from AI business, more diversified global footprint than peers to mitigate tariff/geopolitical risk, and improving balance sheet with higher cash dividend payout.

Downside risks to our PO are: (1) weaker momentum from Apple business (iPhone, iPad and Apple Watch), (2) increasing competition in EMS business from peers, (3) slower sales/earnings delivery in auto/EV business, and (4) weaker market demand or lower shipment from Nvidia AI server rack/system business.

Upside risks to our PO are: (1) better-than-expected yield rate and demand for iPhone, iPad and Apple Watch business, (2) further automation adoption to reduce labor costs and improve efficiency, (3) faster sales/earnings delivery from auto/EV business, and (4) stronger market demand or higher shipment from Nvidia AI server rack/system business.

Analyst Certification

I, Robert Cheng, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao
	Advantech	ADTEF	2395 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

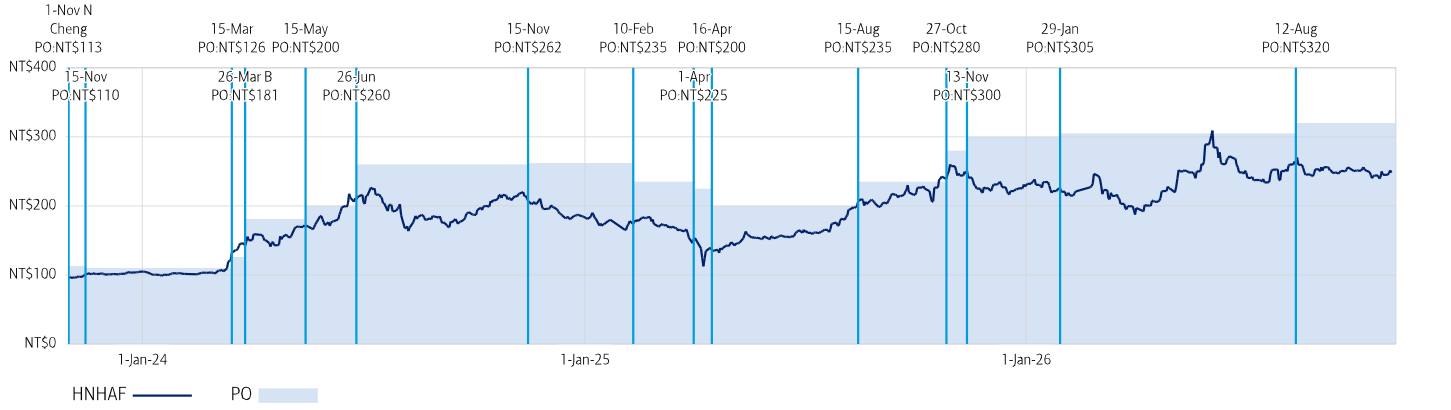
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Disclosures

Important Disclosures

Hon Hai Prec. (HNHAF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

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